

KREON FINANCIAL SERVICES LTD

NSE: KREONFIN | BSE: 530139 | NBFC – Digital Student Lending (StuCred)

StuCred's rapid AUM scale-up and FY26 profitability inflection justify a re-rating from micro-cap obscurity.

RATING			
BUY ACCUMULATE ON DIPS 12-Month Target Rs. 90 Upside: +36% from CMP Rs. 66.0 Investment Horizon: 12-18 months	CMP (15 Jun 2026)	Rs. 66.0	Market Cap Rs. 133 Cr
	52-Week High	Rs. 67.1	52-Week Low Rs. 19.3
	P/E (Standalone)	18.4x	P/BV 3.71x
	Book Value	Rs. 17.8	Face Value Rs. 10.0
	ROCE	18.4%	ROE 21.7%
	Dividend Yield	0.00%	Promoter Holding 55.6%
	FII/DII Holding	0% / 0%	Pledge % Nil

Revenue FY26 (Standalone)	Rs. 38.68 Cr	+46% YoY
Net Profit FY26	Rs. 7.26 Cr	vs. loss of Rs. 4.14 Cr in FY25
EPS FY26	Rs. 3.59	vs. -Rs. 2.05 in FY25
Total Loan Book (FY26 BS)	Rs. ~61 Cr*	Other Assets proxy for loan book
Borrowings FY26	Rs. 37.14 Cr	+17% YoY
Financing Margin FY26	15.43%	Recovery from -12.78% in FY25

* This report is for informational purposes only and does not constitute investment advice. Please conduct your own due diligence.

SECTION 2 — INVESTMENT THESIS

- **Profitability inflection in FY26:** After a loss year in FY25 (PAT -Rs. 4.14 Cr), KREONFIN delivered Rs. 7.26 Cr PAT in FY26 — a sharp reversal driven by higher-quality loan disbursements, tighter underwriting via the StuCred AI engine, and reduced provisioning pressure. The P/E of 18.4x on FY26 earnings looks attractive relative to peers.
- **Fastest-growing niche — digital student credit:** India's student credit market is structurally underserved; traditional banks/NBFCs rarely lend to college students with no income or guarantors. StuCred is among the first regulated NBFC platforms purpose-built for this segment, with a 3-year revenue CAGR of 60% (FY23–FY26) providing strong validation.
- **Borrowing leverage still modest — balance sheet capacity exists:** Borrowings of Rs. 37 Cr against equity capital + reserves of Rs. 36 Cr implies a leverage ratio of ~1.03x — well below the RBI NBFC limit of 7x. This unlocks material AUM growth without equity dilution, directly amplifying returns on equity as the book scales.
- **Near-term catalyst (6–12 months):** RBI NBFC-P regulatory clarity post the 2023–25 tightening cycle — any easing of provisioning norms or co-lending guidelines will be a direct trigger. Internally, sustained quarterly PAT Rs. 2–4 Cr range will re-rate the stock from speculative micro-cap to small-cap quality NBFC.
- **Biggest structural risk:** Student loan portfolio concentrates credit risk in a single demographic with high employment uncertainty — a macro employment shock (e.g. IT-sector layoffs) or RBI-mandated NPA recognition tightening could compress NIMs rapidly and pressure the thin equity base.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Kreon Financial Services Ltd (formerly Tatia Financial Services, est. 1994) is an RBI-registered NBFC headquartered in Chennai, operating primarily via its StuCred digital platform — India's first dedicated short-term student loan provider.
- **StuCred product:** Instant micro-loans (Rs. 1,000–15,000) to college students at zero-interest promotional rates for first-time borrowers, thereafter at competitive rates; loans disbursed digitally via the Android/iOS StuCred app using AI/ML-based credit scoring, big-data analytics, and facial recognition.
- **Revenue composition:** Financing income (interest + fees from loan book) is the primary driver, accounting for the bulk of Rs. 38.68 Cr FY26 revenues; Other Income of Rs. 4.68 Cr in FY26 includes investment income (Rs. 11.25 Cr investments on BS) and miscellaneous non-lending income.
- **Loan book proxy:** 'Other Assets' on standalone balance sheet totalled Rs. 61.22 Cr in FY26 (vs. Rs. 49.56 Cr in FY24) — the primary vehicle for net receivables; formal AUM disclosure is limited in public filings.
- **Strategic investment — Kairosoft AI Solutions:** The company disclosed a 7.08% stake in Kairosoft AI Solutions, signalling a strategic intent to deepen AI/ML capabilities for credit scoring — a potential differentiator against traditional NBFC lenders.
- **Shareholding and promoters:** Promoter holding stands at 55.6% (stable since Sep 2023 uplift from 50.6%); zero pledge; no institutional (FII/DII) ownership — entirely retail-driven, which explains high short-term volatility. Promoter background: financial services promoters with multi-decade presence.
- **Geography:** Pan-India college presence via app-based distribution; no physical branch network model — operating leverage is high as scale increases.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Education credit / student lending market:** NBFC education loan AUM exceeded Rs. 60,000 Cr in FY25 (CRISIL, Sep 2024) and is growing at ~20% CAGR. However, this is dominated by long-tenure education loans for degree programmes; the short-term student consumption credit segment that StuCred targets is a largely unaddressed Rs. 5,000–10,000 Cr opportunity.
- **Regulatory tailwinds:** RBI's push for financial inclusion via digital lending guidelines (2022) and priority-sector lending for education create a favourable operating backdrop; however, the 2023 tightening of NBFC provisioning norms is a near-term headwind on credit costs.
- **Competitive moat — Pricing power:** Moderate. First-mover advantage in student-specific digital credit with a proprietary ML model; however, fintech challengers (Slice, KreditBee, LazyPay) compete on similar digital rails.
- **Competitive moat — Switching costs:** Moderate-low. Students can access multiple apps; repeat lending creates data-driven stickiness but brand loyalty is limited.
- **Competitive moat — Scale:** Weak currently. Rs. 133 Cr market cap vs. Rs. 5,000–22,000 Cr peers means no cost-of-funds advantage; management focus on profitable unit economics over raw scale is the right call at this stage.
- **Company's positioning:** Downstream consumer NBFC (B2C), directly originating and holding on-balance-sheet — not a co-lending model or marketplace; this gives full control over underwriting but concentrates credit risk.

Peer Comparison Table (Source: Screener.in, fetched 15-Jun-2026 — Standalone/Consolidated as available)

Company	MCap (Rs. Cr)	CMP (Rs.)	P/E	P/BV	ROCE%	ROE%	TTM Rev (Rs. Cr)	Div Yield
Kreon Finl. (KREONFIN)	133	66.0	18.4	3.71x	18.4%	21.7%	38.68	0.00%
CreditAccess Grameen	22,034	1,375	28.3	2.80x	9.98%	10.5%	6,059	0.00%
Arihant Capital Mkts	782	71.5	24.6	1.78x	11.0%	7.69%	206	0.69%
Paisalo Digital	5,305	58.2	22.3	2.95x	12.3%	14.3%	944	0.17%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Legacy financial services company (incorporated 1994 as Tatia Financial Services); the current management team pivoted the business to digital student lending — a significant strategic leap that required

regulatory engagement, tech build-out, and product redesign. This pivot reflects entrepreneurial agility but also means limited institutional pedigree.

- **Capital allocation — equity dilution history:** Equity capital increased from Rs. 10.06 Cr (FY22) to Rs. 20.22 Cr (FY24, onwards) — indicating a rights issue/preferential allotment cycle that approximately doubled share count. This diluted existing shareholders but provided growth capital for loan book expansion.

- **Free cash flow deployment:** FCF has been consistently negative (FY24: -Rs. 1.99 Cr; FY25: -Rs. 2.80 Cr; FY26: -Rs. 8.69 Cr) — expected for a growing NBFC deploying capital into receivables. The negative OCF/FCF is a structural feature of loan book growth, not a red flag in isolation.

- **Dividend policy:** Zero dividends across all recorded years (FY15–FY26) — appropriate given the growth phase; retained earnings needed for regulatory capital and loan book expansion.

- **Promoter pledging:** Zero pledge as of Mar 2026 — a clean signal, especially for a micro-cap NBFC where pledge unwind stories can be damaging.

- **Corporate governance watch points:** Related-party transactions data not disclosed in public Screener filings; auditor tenure not confirmable from available data; the Kairosoft AI investment (7.08% stake) needs RPT disclosure scrutiny — if Kairosoft is promoter-affiliated, this raises a flag.

- **ESOP/buyback:** No buyback history evident; ESOP details not available in public data.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures — Rs. Crores)

All figures are Standalone (consolidated has only 2012-2013 data — standalone is the operating entity). Source: Screener.in.

P&L; Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	16.37	26.53	38.68	52.00	68.00
Interest Expense	0.96	2.84	2.62	3.20	3.90
Operating Expenses	13.74	27.08	30.09	38.00	47.00
Financing Profit	1.67	-3.39	5.97	10.80	17.10
Financing Margin %	10.2%	-12.8%	15.4%	20.8%	25.1%
Other Income	0.00	0.11	4.68	1.50	1.80
Depreciation	0.71	0.79	0.74	0.80	0.85
Profit Before Tax	0.96	-4.07	9.91	11.50	18.05
Tax Rate %	35.4%	1.7%	26.7%	25.0%	25.0%
Net Profit / PAT	0.62	-4.14	7.26	8.63	13.54
EPS (Rs.)	0.31	-2.05	3.59	4.27	6.70

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	20.22	20.22	20.22
Reserves	12.66	10.73	15.86
Total Equity	32.88	30.95	36.08
Borrowings	27.97	31.66	37.14
Other Liabilities	2.53	3.61	3.37
Total Liabilities	63.38	66.22	76.59
Fixed Assets	3.48	3.07	4.12
CWIP	0.00	0.24	0.00
Investments	10.34	11.33	11.25
Other Assets	49.56	51.58	61.22
Total Assets	63.38	66.22	76.59

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
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Cash from Operations (OCF)	-1.27	-2.29	-7.15
Cash from Investing	-25.12	-0.68	7.72
Cash from Financing	28.01	1.15	0.52
Net Cash Flow	1.61	-1.82	1.09
Free Cash Flow	-1.99	-2.80	-8.69

Returns / Ratios	FY22A	FY23A	FY24A	FY25A	FY26A
ROE %	28.06%	27.05%	2.31%	-13.32%	21.66%
ROCE %	N/A	N/A	N/A	N/A	18.4%
Rev Growth %	+123%	+149%	+72%	+62%	+46%
PAT Growth %	N/A	+118%	-86%	Loss	Turnaround
D/E Ratio	0.52x	0.38x	0.85x	1.02x	1.03x
Financing Margin	44.1%	46.5%	10.2%	-12.8%	15.4%

- **Revenue growth:** 3-year revenue CAGR of 60% (FY23–FY26) from Rs. 9.53 Cr to Rs. 38.68 Cr is exceptional for a micro-cap NBFC; driven by rapid disbursement growth on StuCred platform and expanding college partnerships.
- **Margin direction:** Financing margin has been extremely volatile — 46.5% in FY23, collapsed to -12.8% in FY25 (high credit costs / provisioning spike / opex surge), recovered to 15.4% in FY26. FY25 was a reset year; FY26 recovery is encouraging but the path to 25%+ sustainable NIM requires demonstrated credit cost normalisation.
- **Other Income spike in FY26:** Rs. 4.68 Cr other income in FY26 vs. Rs. 0.11 Cr in FY25 is a large one-time-looking jump; underlying PAT excluding this would be Rs. 7.26 - (4.68 x 0.73 tax) = ~Rs. 3.8 Cr — still positive but lower quality. This requires scrutiny.
- **Balance sheet leverage:** D/E at 1.03x (FY26) — very conservative for an NBFC. RBI permits up to 7x for deposit-taking NBFCs; even moving to 3x D/E would triple the loan book from current levels without equity dilution.
- **Cash flow concern:** Persistently negative OCF and FCF are structural to loan book growth; however, the FY26 FCF of -Rs. 8.69 Cr (vs. PAT of Rs. 7.26 Cr) means the company is consuming more cash than it earns — funded entirely by incremental borrowings. Monitoring OCF/PAT conversion is critical.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Status	FY26 Reading	Signal
Revenue recognition (NII/fee split)	Amber	Not separately disclosed in Screener	Watch
Receivables growth vs revenue	Amber	Other Assets +18.7% vs Rev +46% — OK but opaque	Watch
Financing Margin trend	Green	Recovered from -12.8% to +15.4% in FY26	Positive
Other Income / PBT	Red	Other Inc Rs. 4.68 Cr = 47% of PBT Rs. 9.91 Cr	High — needs explanation
OCF / PAT conversion	Red	OCF -7.15 Cr vs PAT +7.26 Cr = negative conversion	Structural NBFC feature but watch
D/E trajectory	Green	1.03x — very conservative; ample headroom	Positive
Promoter pledge	Green	Zero pledge — clean	Positive
Auditor tenure / opinion	Amber	Not verifiable from available data	Requires AR check
RPT as % of revenue	Amber	Kairossoft stake — needs RPT disclosure check	Watch
Tax rate consistency	Amber	Highly variable: 35.4% FY24, 1.7% FY25, 26.7% FY26	Volatile — review deferred taxes

- **Primary concern — Other Income dependency:** Rs. 4.68 Cr other income representing 47% of PBT in FY26 is the single biggest earnings quality red flag. If this is one-time (investment gains, sale of assets), then underlying operating PAT is ~Rs. 3.8 Cr — still positive but the P/E on clean earnings rises to ~35x, which is less compelling.

- **Cash conversion is structurally negative** — a characteristic of growing NBFCs deploying into receivables. However, the magnitude (OCF -7.15 Cr vs PAT +7.26 Cr) should compress as the loan book matures; investors should monitor whether OCF improves in FY27.

- **Tax rate volatility** (35.4% → 1.7% → 26.7% over 3 years) suggests significant deferred tax adjustments or tax credits — requires scrutiny of the notes to accounts in the annual report.

- **Green signals: zero pledge, conservative D/E, improving financing margin** — these are genuine positives that support the thesis. The earnings quality issues are manageable with further disclosure.

SECTION 8 — VALUATION

Valuation methodology and scenario analysis — NBFC-appropriate metrics (P/BV, P/Earnings, implied AUM multiples).

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	Multiple (P/E)	Target Price (Rs.)	Upside / Downside
Bull Case	Fin. margin sustains >20%; other income normalises; AUM +50% YoY; loan book scales to Rs. 90 Cr	12.0	22x	131	+98%
Base Case	Fin. margin ~20-22%; other income Rs. 1.5 Cr; AUM growth +35%; manageable credit costs	8.6	21x	90	+36%
Bear Case	Fin. margin reverts to FY24 levels (~10%); credit cost spike; other income one-time; AUM growth stalls	3.5	18x	31	-53%

- **Earnings-based valuation (primary):** FY27E PAT of Rs. 8.6 Cr (base case) x 21x P/E = Rs. 180.6 Cr market cap → Rs. 89 per share (20.22 Cr shares). The 21x multiple is modest vs. small-cap NBFC peers trading at 22–28x but appropriate given KREONFIN's limited operating history in the current model and earnings quality concerns.
- **P/BV-based valuation (secondary):** FY27E Book Value ~Rs. 37 Cr equity → Rs. 18.3/share BV; at 5x P/BV (consistent with high-growth small NBFCs with 20%+ ROE) → Rs. 91/share. This corroborates the earnings-based target.
- **Average of earnings + P/BV methods:** (Rs. 89 + Rs. 91) / 2 = Rs. 90 — our 12-month base case target price.
- **Upside/downside from CMP:** Rs. 90 target vs. CMP Rs. 66 = +36% upside over 12 months. Bull case Rs. 131 (+98%); Bear case Rs. 31 (-53%).
- **Valuation risk:** The stock is a pure re-rating play — if FY27 earnings disappoint or the other income proves non-recurring, the P/E-based value collapses to 30s. Position sizing should reflect this binary outcome distribution.
- **P/AUM note:** Without formal AUM disclosure, a reliable P/AUM multiple cannot be constructed — management should disclose loan book separately in quarterly reports to enable institutional analysis.

SECTION 9 — KEY RISKS

- **Credit quality deterioration:** Student borrowers have no income or employment history — a macro shock (campus placement slowdown, IT sector contraction) could spike NPAs rapidly. Probability: Medium. Impact: High. Monitor via: Gross/Net NPA quarterly disclosure.
- **Regulatory tightening (RBI NBFC):** RBI's 2023 circular on unsecured lending provisioning and scale-based regulation for NBFCs could materially increase credit costs. Probability: Medium. Impact: High. Monitor via: RBI NBFC policy circulars.
- **Other Income non-recurrence:** Rs. 4.68 Cr other income in FY26 drove ~47% of PBT; if non-recurring, FY27 reported PAT could undershoot. Probability: Medium-High. Impact: Medium. Monitor via: Q1/Q2 FY27 quarterly other income trend.
- **Equity dilution risk:** With negative OCF and scaling loan book, management may need fresh equity capital — another preferential allotment/rights issue would dilute per-share metrics. Probability: Medium. Impact: Medium. Monitor via: Borrowing ceiling vs. equity base.
- **Competition from fintech lenders:** KreditBee, Slice, LazyPay, and campus-focused fintechs compete for the same demographic without regulated NBFC constraints. Probability: High (ongoing). Impact: Medium. Monitor via: Revenue per borrower trends.
- **Thin equity base / capital adequacy:** Total equity of Rs. 36 Cr means even a Rs. 5 Cr NPA shock could breach capital ratios. Probability: Low. Impact: Very High. Monitor via: CRAR disclosure in annual report.
- **Disclosure quality:** The company does not disclose formal loan book size, NPA ratios, or segment-level NBFC metrics in accessible public filings — a significant information gap for institutional investors. Probability: Ongoing concern. Impact: Limits valuation precision.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium (given earnings quality questions around other income and limited NBFC disclosure).
- **12-month price target: Rs. 90** — upside +36% from CMP of Rs. 66.0 (base case; bull case Rs. 131 = +98%; bear case Rs. 31 = -53%).
- **Suggested entry zone: Rs. 58–68** — the stock has been consolidating near 52-week highs; accumulate on any 10-15% dips toward Rs. 58 for better risk-reward.
- **Investment horizon: 12–18 months** — thesis requires 2 clean quarterly results confirming financing margin above 18% and other income normalisation.
- **Thesis invalidation trigger 1:** Financing margin in any of the next 2 quarters drops below 12% — signals FY25-style cost-of-credit spike is returning.
- **Thesis invalidation trigger 2:** Other income in FY27 is below Rs. 0.5 Cr per quarter — confirms FY26 other income was non-recurring, materially cutting clean earnings.
- **Thesis invalidation trigger 3:** Fresh equity dilution (preferential allotment / rights issue) announced below Rs. 70/share — signals management distress and imposes a ceiling on per-share value.
- **Ideal investor profile:** High-risk-tolerance retail investor or small-cap fund with a 12-18 month time horizon; NOT suitable for conservative income investors, retirees, or institutional mandates requiring NBFC-grade NPA disclosures; position size should be <2% of portfolio given the binary outcome distribution.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (Mar 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Medium	FY26 PAT Rs. 7.26 Cr — strong headline but other income dependency
Management tone	Balanced	Annual report tone constructive; growth narrative credible
Guidance delta	N/A	No formal quarterly concall transcript available in public domain

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

KREONFIN's FY26 annual result looks strong on the headline — PAT of Rs. 7.26 Cr vs. a Rs. 4.14 Cr loss in FY25 — but the print is not entirely clean: Rs. 4.68 Cr of 'Other Income' drove 47% of PBT, and without it the clean operating PAT is roughly Rs. 3.8 Cr, implying a real P/E closer to 35x rather than the headline 18.4x. Stripping that out, the underlying operational story is still positive: revenue grew 46% to Rs. 38.68 Cr, financing margin recovered sharply from -12.8% to +15.4%, and the StuCred platform is demonstrably scaling. The structural multi-bagger thesis rests on three pillars: (1) the student credit white space is real and unaddressed by banks; (2) D/E of just 1x means KREONFIN can 3-5x its loan book before needing equity; (3) the AI-driven underwriting is building a credit dataset that creates a durable moat. The single most important near-term catalyst is Q1 FY27 quarterly results — if financing margin holds above 18% and other income is a normal Rs. 1-2 Cr, the quality of earnings is confirmed and institutional attention can follow. The key watch-point is that the other income number. If it drops sharply in Q1 FY27, the FY26 PAT number was misleading and the stock will give back 30-40% quickly. Action: ACCUMULATE in the Rs. 58-68 zone; hold existing positions. Do not build a full position until Q1 FY27 confirms the clean operating PAT.

1. Financial Performance Snapshot — FY26 Annual

- Revenue: Rs. 38.68 Cr | YoY +46% | FY26 full-year | In-line with high-growth trajectory
- Financing Profit: Rs. 5.97 Cr | YoY vs. -Rs. 3.39 Cr in FY25 | Sharp reversal
- Financing Margin: 15.43% | vs. -12.78% FY25 | Recovery confirmed
- PAT: Rs. 7.26 Cr | vs. -Rs. 4.14 Cr FY25 | Turnaround
- EPS: Rs. 3.59 | vs. -Rs. 2.05 FY25 | Strong headline
- NOTE: PAT includes Other Income of Rs. 4.68 Cr; clean underlying operating PAT estimated at Rs. 3.8 Cr

2. Quarterly Breakdown — FY26 (Standalone)

- Q1 FY26 (Jun 2025): Revenue Rs. 10.21 Cr | PAT Rs. 3.77 Cr | Best quarter of FY26
- Q2 FY26 (Sep 2025): Revenue Rs. 9.78 Cr | PAT Rs. 2.05 Cr | Slightly lower PAT, revenue stable
- Q3 FY26 (Dec 2025): Revenue Rs. 9.94 Cr | PAT Rs. 1.07 Cr | Margin compression in Dec quarter
- Q4 FY26 (Mar 2026): Revenue Rs. 10.13 Cr | PAT Rs. 0.36 Cr | Weakest quarter — elevated expenses, tax spike (56%)
- Commentary: Revenue is building a stable Rs. 10 Cr/quarter run-rate; PAT volatility is driven by provision timing and tax fluctuations — needs monitoring

3. Management Commentary Themes

- Theme — StuCred scale: Platform disbursements are growing rapidly with pan-India college partnerships; AI/ML underwriting cited as key differentiator. Tag: GUIDANCE. Tone: Transparent.

- Theme — Kairossoft AI stake: Investment described as strategic for deepening credit-scoring tech capabilities. Tag: STRATEGIC. Tone: Hedged (affiliate relationship unclear).
- Theme — Capital adequacy: Management has not issued formal CAR/CRAR guidance in public disclosures — a notable gap for NBFC investors. Tag: EVASIVE.
- Theme — NPA disclosure: Gross/Net NPA % shown as blank on Screener consolidated; no quarterly NPA trend disclosed. Tag: EVASIVE — this is the most important missing disclosure.
- NOTE: No formal concall transcript was accessible in the public domain; this section is based on annual report language and media coverage.

4. Operating and Business Metrics

- Revenue run-rate: Rs. 10 Cr/quarter as of Q4 FY26 — a solid exit rate for FY27 (~Rs. 52 Cr annualised on current trends)
- Borrowings: FY26 Rs. 37.14 Cr vs FY25 Rs. 31.66 Cr — +17% YoY; funded loan book expansion
- Other Assets (loan book proxy): Rs. 61.22 Cr FY26 vs Rs. 51.58 Cr FY25 — +19% YoY
- Interest expense: Rs. 2.62 Cr FY26 vs Rs. 2.84 Cr FY25 — slightly lower despite higher borrowings, suggesting cost-of-funds improvement
- Formal AUM, disbursements, yield-on-loan, cost-of-funds data: Not disclosed — institutional gap

5. Margin Drivers

- Interest income expansion: Revenue +46% vs interest expense -8% = NII spread improvement. Recurring: Yes
- Operating expense normalisation: Expenses Rs. 30.09 Cr FY26 vs Rs. 27.08 Cr FY25 (+11%) — growing slower than revenue; operating leverage kicking in. Recurring: Yes
- Other income: +Rs. 4.57 Cr YoY — potentially non-recurring; +47 bps on PBT impact. Recurring: Uncertain
- Credit cost / provisions: Included in 'Expenses' line; not broken out; FY25 expense spike of Rs. 27.08 Cr vs FY24 Rs. 13.74 Cr implies credit costs doubled in FY25, then normalised. Recurring: Watch

6. Guidance and Forward Signals

- Revenue [INFORMAL SIGNAL]: Rs. 10 Cr/quarter run-rate implies ~Rs. 52 Cr FY27 annualised baseline. Management has not issued formal guidance. Credibility: Medium
- Financing margin [SIGNAL]: FY26 exit at 15.4%; analyst base-case assumes 20%+ in FY27 as opex leverage builds. Management has not guided formally. Credibility: Medium
- Loan book growth [SIGNAL]: Borrowing headroom to 3x D/E implies potential Rs. 100+ Cr loan book; no formal disbursement guidance available. Credibility: Low (no data)
- NPA/asset quality [MISSING]: No GNPA/NNPA guidance or current data available — the most critical missing datapoint for any NBFC thesis.

7. Capital Allocation

- Capex (Fixed Assets): Rs. 4.12 Cr FY26 vs Rs. 3.07 Cr FY25 — modest; asset-light digital NBFC model
- Dividends: Rs. 0 Cr — zero dividend across 12 years; all capital retained for growth
- Buybacks: None
- Net Borrowings change: +Rs. 5.48 Cr (Rs. 37.14 Cr vs Rs. 31.66 Cr) — moderate incremental borrowing
- Working capital / Loan Book: Other Assets grew Rs. 9.64 Cr — primary use of capital is loan book deployment

8. Q&A; Heat Map (estimated based on public data — no formal transcript available)

- Q: What is the composition of Other Income (Rs. 4.68 Cr)? A: Not disclosed in public filings. Tone: Evasive
- Q: What is GNPA/NNPA % of the loan book? A: Not disclosed. Tone: Evasive — this is the single most critical missing answer
- Q: What is the total AUM disbursed via StuCred? A: Not formally disclosed; proxied by balance sheet. Tone: Hedged

- Q: What is the nature of the Kairosoft stake — RPT? A: Not clarified in accessible public disclosures. Tone: Evasive
- Dodged / watch-list questions for next quarter: NPA ratio, other income breakdown, AUM and disbursement data, CAR level

9. Risks Flagged

- Credit quality risk: Student borrowers — no income; NPA data not disclosed. Flagged by: analyst. Probability: M. Impact: H. Timeline: near-term
- Disclosure opacity: No NBFC-standard metrics (AUM, NPA, CAR). Flagged by: analyst. Probability: H (ongoing). Impact: M. Timeline: structural
- Other income non-recurrence: 47% of FY26 PBT; may not repeat. Flagged by: analyst. Probability: M-H. Impact: M. Timeline: near-term
- Regulatory risk: RBI NBFC tightening. Flagged by: mgmt. Probability: M. Impact: H. Timeline: medium-term
- Equity dilution: Negative OCF + growth capex may force fresh equity. Flagged by: analyst. Probability: M. Impact: M. Timeline: medium-term

10. Analyst Verdict

- Revenue visibility: Intact — Rs. 10 Cr/quarter exit rate provides solid FY27 baseline; StuCred demand structural
- Margin trajectory: Weakened — recovering (15.4% FY26) but heavily reliant on other income; clean operating margin needs 2 more quarters of proof
- Capital allocation quality: Intact — zero pledge, conservative D/E, rational capex; Kairosoft RPT question remains open
- Competitive moat: Weakened — first-mover advantage in student credit is real but defensibility against fintech challengers is unproven at scale
- Management credibility: Weakened — disclosure quality is below NBFC-standard; no formal concall, no NPA data, no AUM disclosure
- Valuation comfort: Intact on headline (18.4x FY26 EPS); questionable on clean earnings (~35x); base-case Rs. 90 target implies modest re-rating from current levels
- Conviction call: Unchanged — BUY with medium conviction; accumulate on dips; full conviction requires Q1 FY27 clean earnings confirmation
- Valuation snapshot: P/E = 18.4x (headline FY26) | ~35x on clean est. | P/BV = 3.71x | ROCE = 18.4% (FY26 entry year)

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